

Why would professional investors, often paid on the basis of the returns they generate, seek out stocks likely to lead to returns that are lower than the averages? Perhaps they are doing so unknowingly. Lakonishok et al. examine this point, finding that professional investors also make errors in judgment, extrapolating past growth rates of glamour stocks even when such growth rates are highly unlikely to persist. Like the lay investor, they too commit the investment sin of putting too much weight on the recent past for the particular stock under examination, rather than a *rational prior*, which is the probability of returns to glamorous, high-growth *story* stocks. This is a common judgment error not just in the stock market, but also in many situations requiring predictions about uncertain future states. It is known as “neglect of the base rate,” and it was first examined by two pioneers in behavioral finance research, Daniel Kahneman and Amos Tversky, who gave it a prominent place in their groundbreaking paper, “Judgment under Uncertainty: Heuristics and Biases” (1974).⁴² Kahneman and Tversky found that we make decisions about uncertain future events based on three *heuristics*—short cuts or simple rules of thumb—that help us break down complex cognitive tasks into simpler operations. Each leads us to make poor decisions about uncertain events because it leads us to consider irrelevant evidence, and in so doing diverts us from considering the underlying probabilities about the events.

The three heuristics are representativeness, availability, and anchoring and adjusting. *Representativeness* leads us to consider only how well something matches our stereotype of that group of things. So, for example, Kahneman and Tversky asked a group of subjects to determine whether an individual was a lawyer or engineer. The subjects were told that the individual had been randomly selected from a sample of professionals consisting of 70 engineers and 30 lawyers. When given a description of the individual’s personality, the subjects assessed the likelihood that the individual was an engineer or lawyer by the extent to which the personality description matched the stereotype of an engineer or a lawyer, rather than using the underlying probabilities. The question was then altered such that no information was conveyed about the individual’s personality, and the subjects used the underlying probabilities properly. The example illustrates that when no specific, representative evidence is given, we use the prior probabilities correctly, but when *worthless* representative evidence is given, we tend to ignore the prior probabilities and become distracted by the representative evidence. The *availability* heuristic leads us to consider only those things that can be brought to mind with ease, often because we have personal experience with them. For example, we assess the risk of heart attack among middle-aged people by recalling such occurrences among our acquaintances, rather than by considering the underlying probabilities. The *anchoring and*